

# MYCOcottage Prototype – Site Cost Comparison

12-MONTH RUNWAY · WAREHOUSE VS. IN-LAW PROPERTY · SUBFEED INCLUDED BOTH

## OPTION A

### Commercial Warehouse Lease

~1,500 sq ft industrial bay, Riverside/IE market

#### ONE-TIME SETUP COSTS

|                                                                              |                 |
|------------------------------------------------------------------------------|-----------------|
| Security deposit (2 months)<br>Standard IE industrial requirement            | \$5,000–\$7,000 |
| 100A subfeed installation<br>Panel tap → container; conduit + breaker + wire | \$1,800–\$3,200 |
| Water line tap + drain<br>Plumber ties into existing building supply         | \$800–\$1,500   |
| Container delivery to warehouse<br>40HC flatbed, local IE delivery           | \$500–\$1,000   |

#### MONTHLY RECURRING (×12)

|                                                                                              |                    |
|----------------------------------------------------------------------------------------------|--------------------|
| Base rent<br>\$1.50–\$2.00/sq ft NNN, ~1,500 sq ft                                           | \$2,250–\$3,000/mo |
| NNN charges (taxes, insurance, maintenance)<br>Typical IE industrial NNN add-on              | \$300–\$500/mo     |
| Electricity – warehouse + container ops<br>Container HVAC, lighting, equipment. Peak Jun–Sep | \$350–\$600/mo     |
| Water / sewer<br>RO system + sink usage                                                      | \$80–\$140/mo      |
| Business liability insurance<br>Required by most commercial leases                           | \$120–\$180/mo     |

#### 12-MONTH TOTALS

|                                 |           |
|---------------------------------|-----------|
| Setup costs (midpoint)          | ~\$7,750  |
| 12 months rent + NNN (midpoint) | ~\$34,200 |
| 12 months utilities (midpoint)  | ~\$6,840  |

12 months insurance

~\$1,800

## 12-Month Site Total

Before MYCOcottage build costs

**-\$50,590**

### OPTION B

## In-Law Property Rental

\$1,000/month informal arrangement, utilities direct

### ONE-TIME SETUP COSTS

Security deposit / goodwill payment

**\$0-\$1,000**

Optional – depends on family arrangement

100A subfeed installation

**\$1,800-\$3,200**

Main panel → container pad; conduit + wire + breaker

Water line tap + drain / dry well

**\$600-\$1,800**

Residential tap or separate meter; dry well if no sewer stub

Gravel pad / site prep for container

**\$300-\$800**

Level pad, gravel or concrete blocks under corners

Container delivery to property

**\$500-\$1,000**

40HC flatbed, local IE delivery

Building permit (accessory structure)

**\$400-\$900**

Riverside County – container as ag/storage structure

### MONTHLY RECURRING (×12)

Rent to in-law

**\$1,000/mo**

Fixed informal arrangement

Electricity – container ops only

**\$250-\$420/mo**

Your meter or added to their bill + reimbursement. HVAC + equipment. Peak Jun-Sep.

Water / sewer or dry well maintenance

**\$40-\$80/mo**

Low RO usage; added to household or submetered

Business liability insurance

**\$60-\$100/mo**

Rider on your LLC policy – lower cost than commercial

### 12-MONTH TOTALS

Setup costs (midpoint)

**~\$5,100**

12 months rent to in-law

**\$12,000**

|                                |          |
|--------------------------------|----------|
| 12 months utilities (midpoint) | ~\$4,620 |
| 12 months insurance            | ~\$960   |

### 12-Month Site Total

Before MYCOcottage build costs

**-\$22,680**

### 12-MONTH SAVINGS – IN-LAW PROPERTY VS WAREHOUSE

Same subfeed, same container, same build – different site

**-\$27,910**

55% less over 12 months

### WHAT THIS MEANS FOR YOUR \$50K BUDGET

#### OPTION A – WAREHOUSE

|                                 |                  |
|---------------------------------|------------------|
| 12-month site costs             | ~\$50,590        |
| MYCOcottage build-out           | ~\$16,400        |
| Container purchase              | ~\$1,500         |
| Equipment (LAF, shelving, etc.) | ~\$5,000         |
| CDFA + LLC + legal              | ~\$2,000         |
| <b>TOTAL</b>                    | <b>-\$75,490</b> |

△ Exceeds \$50K budget by ~\$25K

#### OPTION B – IN-LAW PROPERTY

|                                 |                  |
|---------------------------------|------------------|
| 12-month site costs             | ~\$22,680        |
| MYCOcottage build-out           | ~\$16,400        |
| Container purchase              | ~\$1,500         |
| Equipment (LAF, shelving, etc.) | ~\$5,000         |
| CDFA + LLC + legal              | ~\$2,000         |
| <b>TOTAL</b>                    | <b>-\$47,580</b> |

✓ Within \$50K budget – \$2,420 remaining as buffer

#### △ WAREHOUSE CONSIDERATIONS

- Lease locks you into a fixed cost even if business is slow
- NNN charges add 10-20% on top of base rent – often underestimated
- Commercial landlord may restrict agricultural use or require special permits
- Moving the container out when you find a permanent site costs \$500-\$1,500 extra
- No equity or relationship value – money leaves permanently
- Upside: professional address, no zoning ambiguity, easier to show customers

#### ✓ IN-LAW PROPERTY ADVANTAGES

- \$27,910 in savings redirected to build quality or working capital
- Flexible – arrangement can adjust if business needs change
- Rent to family member keeps money in the family ecosystem

- No lease breakage risk if you find a permanent site early
- Container stays put or moves – your call, no landlord approval needed
- ▲ Get a simple written rental agreement for VR&E and LLC records
- ▲ Verify Riverside County zoning allows agricultural/commercial activity on parcel

All figures are estimates based on Riverside/Inland Empire market rates as of June 2026. Verify current utility, permit, and lease rates before committing. Subfeed installation assumes existing panel within 100ft of container site.